

REPORT ON BUSINESS OPERATIONS

RESPONDING WITH AGILITY

We are an agile and responsive entity, expertly navigating change to align with an evolving landscape and deliver unparalleled results.

Lions, with their impressive speed—reaching up to 80 km/h—embody the power of planning, adaptation, and strategy, securing their place as dominant forces in the natural world. Similarly, mosaics have continuously evolved, reflecting their ability to adapt and transform in response to the changing times.



SECTION 4

THE CAPITAL REPORTS

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Cultivating Social and Relationship Capital 184 | Nurturing Natural Capital 208

THE BUSINESS REPORTS

Business Review 222 | Subsidiary Information 241

		Stakeholders					
Interest	Attractive and sustainable returns	★		★	★		
	Transparent reporting and good governance	★	★	★	★	★	★
	Management of asset quality	★	★	★	★	★	★

7

Future

- AI and advanced BI platforms for risk and performance management
- Scale digital lending and financial inclusion initiatives for MSMEs
- Enhance liquidity buffers through dynamic forecasting
- Expand green finance and introduce climate-aligned financial products

6

Key Output

- Highest ever profit after tax in LBF history
- Asset Quality Management - YoY declining NPL ratio
- YoY increase in Assets
- Maintaining adequate capital and liquidity to support the business
- Enhancing operational efficiencies

Market Capitalisation
Rs. 47.93 Bn

Total Assets
Rs. 240.89 Bn

DPS
Rs. 6.50



Visit web page for our management approach of Financial Capital

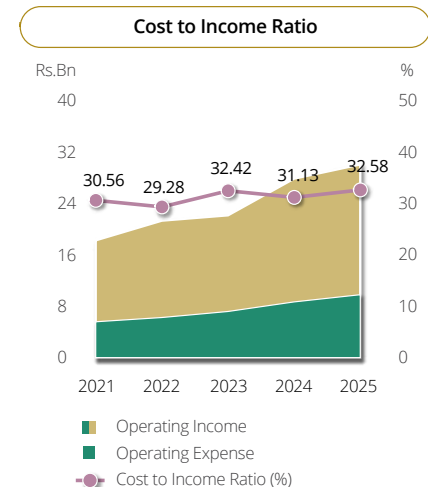
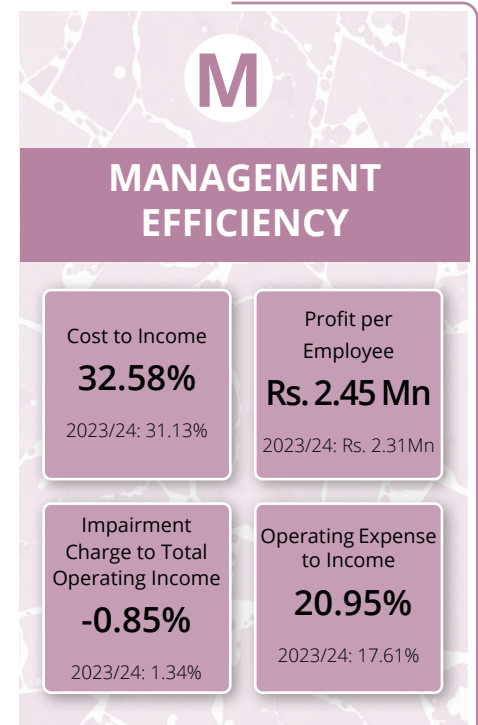
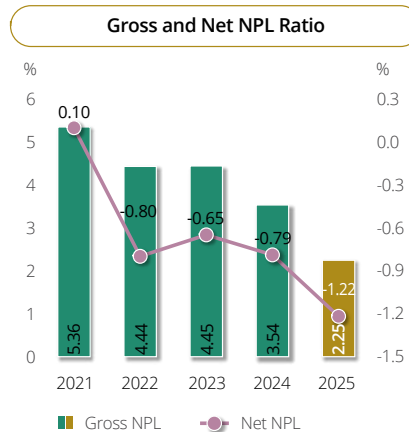
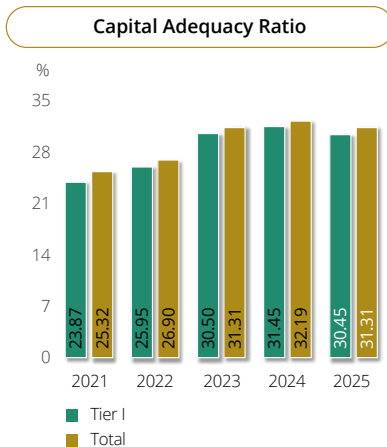
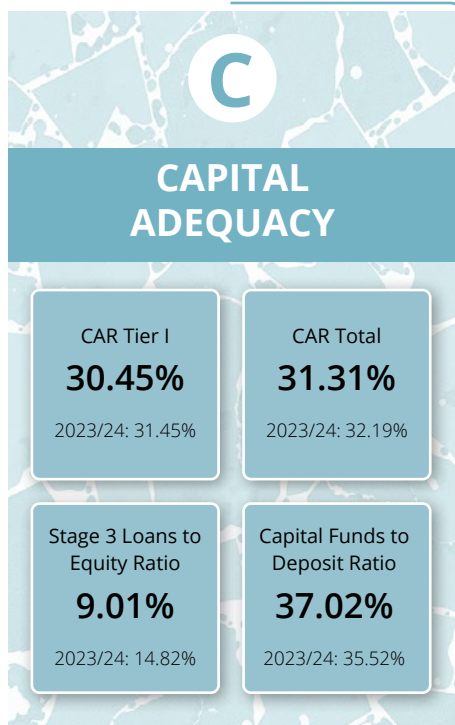
Impact from SRROs and CRRs

FORTIFYING FINANCIAL CAPITAL

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CAMELS – SIX PILLARS OF FINANCIAL STEWARDSHIP

Resilience is not accidental, it is the result of disciplined strategy, sound governance, and data driven insight. Our adapted CAMELS model reflects this core approach, offering a clear and structured evaluation of performance across six core pillars: Capital Adequacy, Asset Quality, Quality, Management Efficiency, Earnings, Liquidity, and Sensitivity to Financial and Operating Conditions.



Way forward

We aim to maintain a capital buffer at least 2% above the minimum regulatory requirement set by the CBSL.

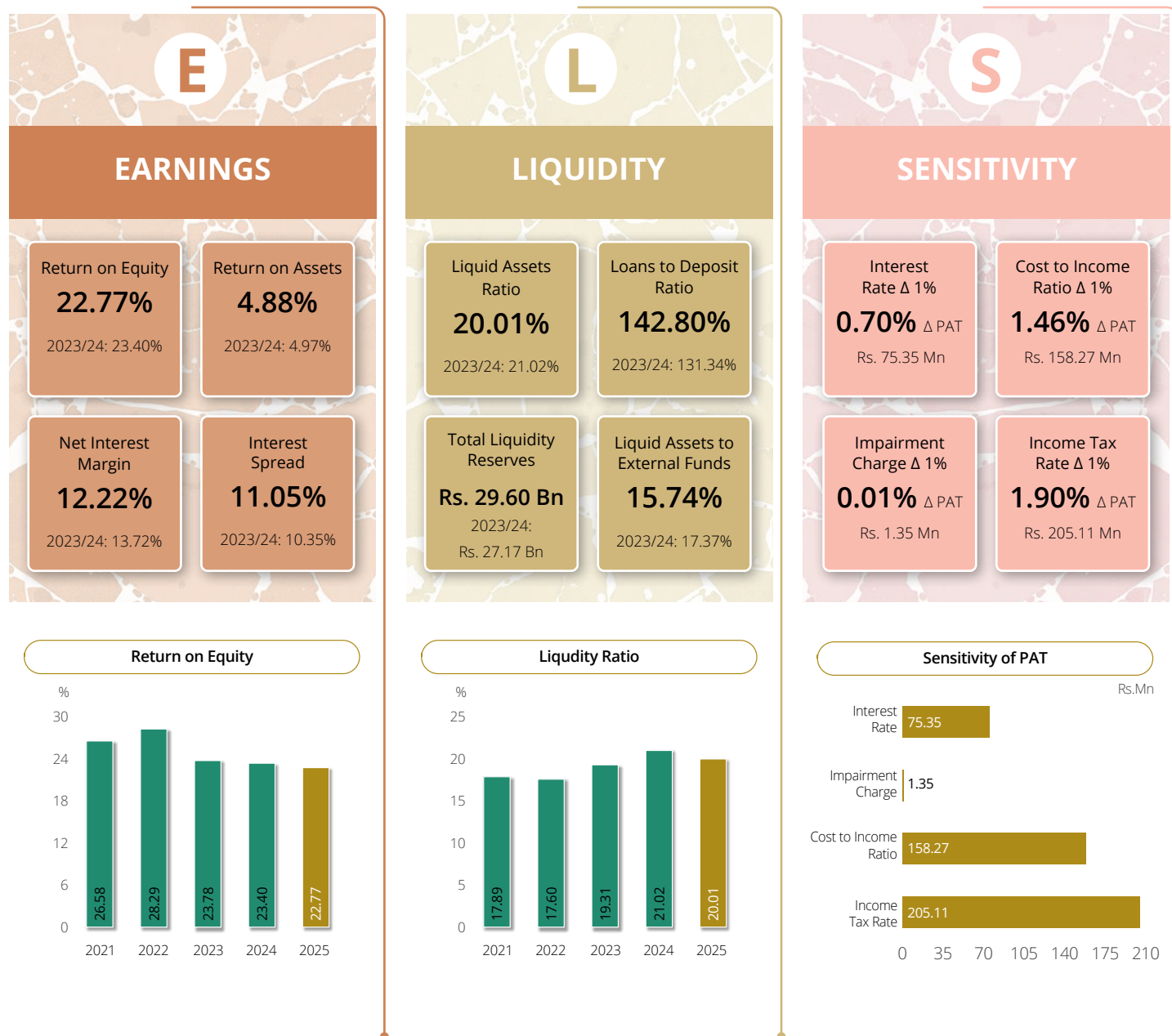
Way forward

To maintain Gross NPL rate below 5% and net NPL Ratio at zero level.

Way forward

Maintain a lean cost structure with expenses consuming no more than 35% of Operating income

We consider CAMELS as a forward-looking framework that reveals how we safeguard financial stability, respond to market dynamics, and continuously deliver long-term value.



S

SENSITIVITY

Interest Rate Δ 1%

0.70% Δ PAT

Rs. 75.35 Mn

Cost to Income Ratio Δ 1%

1.46% Δ PAT

Rs. 158.27 Mn

Impairment Charge Δ 1%

0.01% Δ PAT

Rs. 1.35 Mn

Income Tax Rate Δ 1%

1.90% Δ PAT

Rs. 205.11 Mn

Sensitivity of PAT

Metric	Value (Rs. Mn)
Interest Rate	75.35
Impairment Charge	1.35
Cost to Income Ratio	158.27
Income Tax Rate	205.11

Way forward

We aim to achieve a minimum ROE of 20% by optimising our operations and financial performance.

Way forward

Maintain a robust liquidity buffer of minimum 150% to ensure financial stability.

Way forward

We use sensitivity analysis to support strategic decisions that align with stakeholder interests and maximise shareholder value.

FORTIFYING FINANCIAL CAPITAL

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1. OVERVIEW

Our Financial Capital serves as the vital monetary resource driving the Company's expansion, drawn from equity, debt, customer deposits, and internally generated funds. We maintain full compliance with Sri Lanka Accounting Standards (LKAS) and Sri Lanka Financial Reporting Standards (SLFRS), requirements of the regulatory bodies and regularly update our practices to incorporate emerging standards, ensuring transparency, accountability, and global alignment. This capital not only sustains everyday operations but also underpins other forms of capital. It fuels our growth, boosts operational efficiency, supports innovation, and drives sustainable development, all while safeguarding financial stability and creating long term value for our stakeholders.

1.1 Contribution to Value Creation

	Value Creation 	Value Preservation 	Trade-offs 
	Expanded credit access with 22.61% growth in lending portfolio; strengthened deposit mobilisation to fund lending growth	Maintained service continuity, digital touchpoints, and product affordability despite interest rate movements	Managed interest spreads and funding cost trade-offs to protect margins while ensuring customer value
	Delivered 12.99% net profit growth; declared Rs. 6.50 dividend per share with a 33.33% payout ratio	Sustained high ROE 22.77% and ROA 4.88% through prudent financial management	Balanced earnings distribution with reinvestment needs for future lending and liquidity optimisation
	Offered revised compensation, incentives, and internal career growth to reward performance	Retained skilled workforce and maintained efficient cost to income ratio 32.58% despite cost increases	Trade-off between rising HR costs and operational efficiency targets
	Ensured compliance with capital and liquidity requirements while expanding credit base	Maintained strong NPL ratios (Gross: 2.25%, Net: -1.22%) through disciplined risk practices	Navigated between growth ambitions and regulatory prudence
	Strengthened relationships with funding partners and vendors to support asset growth	Honoured commitments with reliable partner engagement and timely settlements	Balanced cost of funding and partnership dependencies with internal capital deployment goals
	Supported financial inclusion and rural access through sector diverse lending; progressed on ESG compliance and awareness	Maintained alignment with ESG policies and environmental standards in operations	Prioritised business growth over scaling environmental initiatives in the short term

1.2 Unifying Financial Capital with LB Strategy

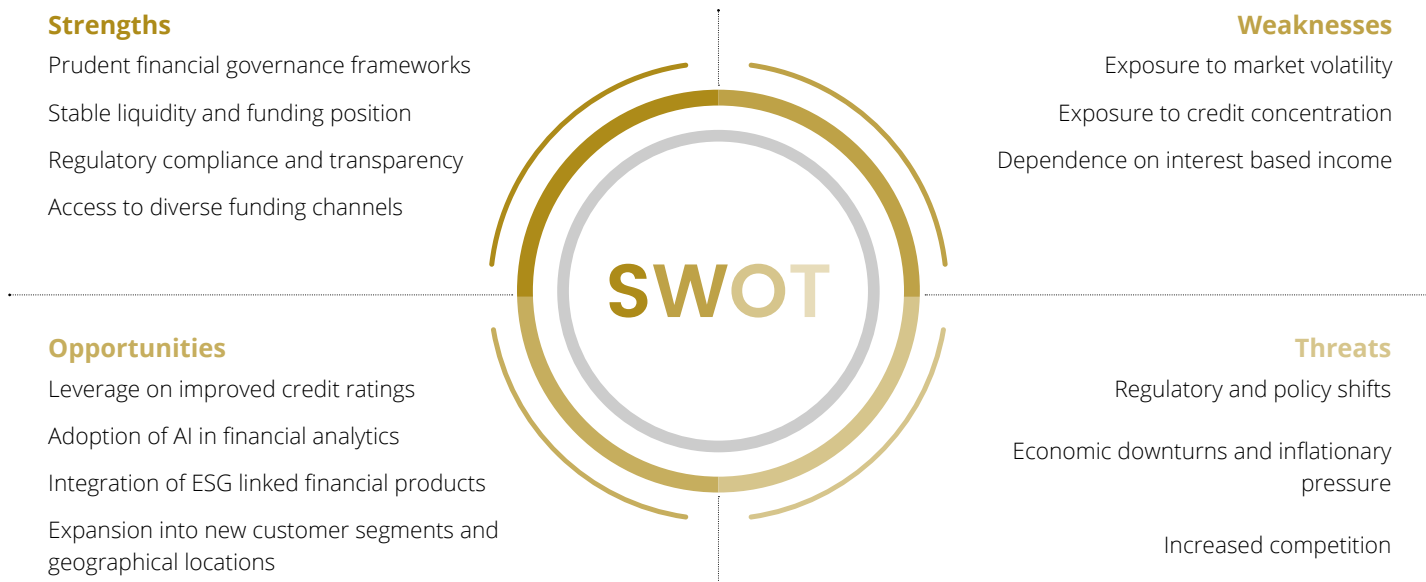


1.3 Material Matters and Related Topics

Material Themes	Material Matters	Related Topic	Page
Sustainable and Climate Inclusive Business Growth	Sustainably Growing Revenue	CAMELS - Six Pillars of Financial Stewardship	126
	Risk and Capital Management		
	Operational Resilience		
Good Governance and Risk Optimisation	Internal Control and Risk Management	Profitability Strength, Position of Financial Health	132,136
	Ethical and Transparent Practices		
	Regulatory Compliance		
Supporting Social Cohesion	Corporate Citizenship and Social License to Operate	Contribution to Value Creation	128

FORTIFYING FINANCIAL CAPITAL

1.4 SWOT Analysis for Financial Capital



2 FINANCIAL CAPITAL AND SUSTAINABILITY

2.1 Financial Capital-related Sustainability Risks and Opportunities

Our financial capital is fundamental to sustaining long-term value creation. In line with the SLFRS S1 (General Requirements for Disclosure of Sustainability-related Financial Information) and SLFRS S2 (Climate-related Disclosures), we assess key sustainability risks that could impact our financial stability, such as economic volatility, interest rate fluctuations, regulatory changes, and credit risk exposure. These risks have the potential to affect profitability and capital adequacy. Additionally, rising customer expectations and digital disruptions present strategic and operational challenges.

In accordance with SLFRS S1 and S2, we proactively address these risks by enhancing our risk management framework and aligning our financial strategies with sustainability objectives. We identify opportunities in areas such as strong capital adequacy, diversification of funding sources, and consistent profitability, which provide resilience in the face of emerging economic and environmental challenges.

Furthermore, we focus on strategic investments in technology, green finance, and inclusive lending, contributing to our commitment to responsible growth. By integrating sustainability factors into our financial decision making process, We are well positioned to navigate evolving market dynamics and achieve sustainable long-term success.

2.2 Financial Capital Governance

We apply disciplined financial governance frameworks to manage, protect, and enhance our financial capital in alignment with strategic objectives. Budgeting and forecasting processes follow Board approved guidelines, while capital investments, including major expenditures, undergo rigorous evaluation and approval by the Board and relevant sub-committees.

Our Risk Management Framework governs exposure to credit, market, and liquidity risks. These risks are continuously monitored and reported through the Board Integrated Risk Management Committee. Liquidity and funding are managed under a Board approved Treasury Policy, with oversight by ALCO ensuring resilience and cost efficiency.

Internal Audit conducts regular evaluations of financial controls, reporting directly to the Board Audit Committee. The Committee plays a pivotal role in overseeing the control environment, financial reporting integrity, and both internal and external audit activities. It monitors the implementation of audit recommendations and ensures timely remedial action by management.

Our financial statements are prepared in compliance with Sri Lanka Accounting Standards (LKAS/SLFRS) and other regulatory requirements set by the Central Bank of Sri Lanka (CBSL) and the Colombo Stock Exchange (CSE). Independent external auditors conduct annual audits, providing assurance on the accuracy and fairness of disclosures. These governance layers reinforce transparency, public trust, and accountability in the management of financial capital.

3. HORIZONTAL ANALYSIS OF INCOME STATEMENT

Income Statement	*CAGR	2024/25		2023/24		2022/23		2021/22		2020/21	
	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%
Income	12	46,731	(5)	49,230	15	42,756	42	30,160	1	29,766	(5)
Interest Income	11	41,815	(9)	45,730	15	39,644	44	27,511	0	27,458	(6)
Interest Expenses	10	16,687	(22)	21,379	4	20,616	>100	8,847	(23)	11,523	(15)
Net Interest Income	12	25,128	3	24,350	28	19,028	2	18,664	17	15,935	3
Other Operating Income	21	4,916	40	3,500	12	3,113	18	2,649	15	2,308	12
Total Operating Income	13	30,044	8	27,851	26	22,141	4	21,313	17	18,243	4
Impairment Charges/(Reversals)	-	(256)	(>100)	373	(32)	546	(47)	1,026	(39)	1,692	(8)
Total Operating Expenses	15	9,788	13	8,670	21	7,178	15	6,240	12	5,576	(5)
Tax on Financial Services	26	4,170	15	3,628	36	2,670	25	2,137	28	1,669	(27)
Profit before Tax	15	16,342	8	15,180	29	11,747	(1)	11,910	28	9,306	22
Income Tax Expense	22	5,536	(1)	5,616	71	3,287	1	3,248	30	2,503	3
Profit for the Year	12	10,806	13	9,564	13	8,460	(2)	8,662	27	6,803	31

*CAGR - Compound Annual Growth Rate

LBF has demonstrated a consistent growth trajectory over the past five years, marked by a significant increase in income and profitability. Total income rose from Rs. 29.77 billion to Rs. 46.73 billion during this period, reflecting a robust Compound Annual Growth Rate (CAGR) of 12%. This growth is underpinned by strong performance across key income streams, including net interest income, which increased at a CAGR of 12% to Rs. 25.13 billion in 2024/25, and other operating income, which posted a solid 21% CAGR. The Company recorded an impairment reversal for the year 2024/25, indicating a steady improvement in asset quality since the impairment charge of Rs. 1.69 billion in 2020/21. Calculating a CAGR for impairment charges/(reversals) is not meaningful due to the negative value in the current financial year. Operating expenses rose moderately from Rs. 5.58 billion to Rs. 9.79 billion over the same period, indicating prudent cost management despite business expansion and challenging economic conditions. This disciplined expense growth has supported the Company's profitability, with profit for the year reaching a record Rs. 10.81 billion in 2024/25, representing a 12% CAGR. LBF's consistent financial performance highlights its strong fundamentals and effective navigation of market challenges.

4. VERTICAL ANALYSIS OF INCOME STATEMENT

Income Statement	2024/25		2023/24		2022/23		2021/22		2020/21	
	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%
Income	46,731	100	49,230	100	42,756	100	30,160	100	29,766	100
Interest Income	41,815	89	45,730	93	39,644	93	27,511	91	27,458	92
Interest Expenses	16,687	36	21,379	43	20,616	48	8,847	29	11,523	39
Net Interest Income	25,128	53	24,350	50	19,028	45	18,664	62	15,935	53
Other Operating Income	4,916	11	3,500	7	3,113	7	2,649	9	2,308	8
Total Operating Income	30,044	64	27,851	57	22,141	52	21,313	71	18,243	61
Impairment Charges/(Reversals)	(256)	(1)	373	1	546	1	1,026	3	1,692	6
Total Operating Expenses	9,788	21	8,670	18	7,178	17	6,240	21	5,576	19
Tax on Financial Services	4,170	9	3,628	7	2,670	6	2,137	7	1,669	6
Profit before Tax	16,342	35	15,180	31	11,747	28	11,910	40	9,306	30
Income Tax Expense	5,536	12	5,616	11	3,287	8	3,248	11	2,503	8
Profit for the Year	10,806	23	9,564	20	8,460	20	8,662	29	6,803	22

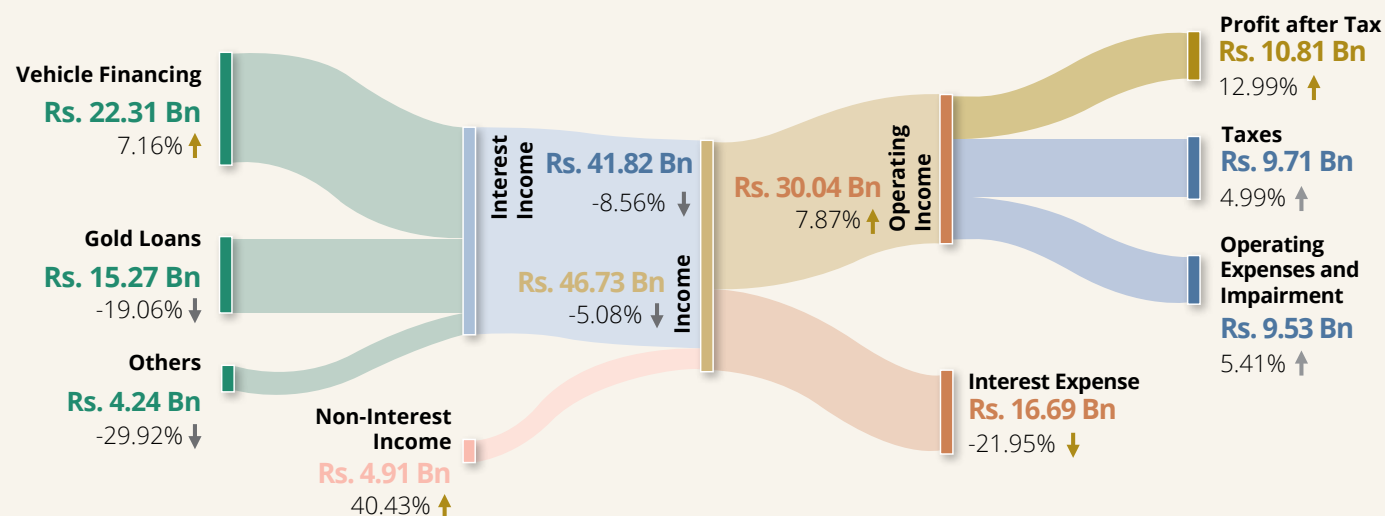
The vertical analysis of LBF's income statement offers valuable insight into the Company's revenue and expense structure. Interest income has consistently accounted for a substantial share of total income, ranging between 89% and 93% over the past five years, underscoring the Company's strategic focus on interest generating activities. Meanwhile, interest expenses have stood between 48% and 29% of total income, indicating effective management of the Company's cost of funds. Taxes on financial services and income tax expenses, which form a significant portion of total expenses, have ranged from 13% to 21% of income reflecting the Company's substantial contribution to government revenue. Importantly, LBF has maintained a consistently strong level of profitability, with profit margins averaging over 19% during the period. This performance reflects the Company's operational efficiency, its ability to optimise shareholder returns, and its meaningful contribution to the national economy.

FORTIFYING FINANCIAL CAPITAL

5. PROFITABILITY STRENGTH

5.1 Analysis of the Income Statement

The diagram illustrates LBF's income distribution for FY 2024/25. The Company generated a total income of Rs. 46.73 billion, primarily from vehicle financing, gold loans, other loans together with non-interest income. After deducting interest expenses of Rs. 16.69 billion, the total operating income stood at Rs. 30.04 billion. Overheads, including operating expenses and impairment charges, amounted to Rs. 9.53 billion, while tax expenses totalled Rs. 9.71 billion. After accounting for these elements, the Company recorded a solid profit of Rs. 10.81 billion, reflecting operational efficiencies, prudent financial management, and strong profitability.

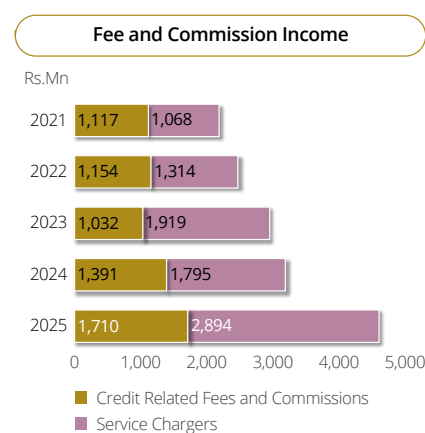
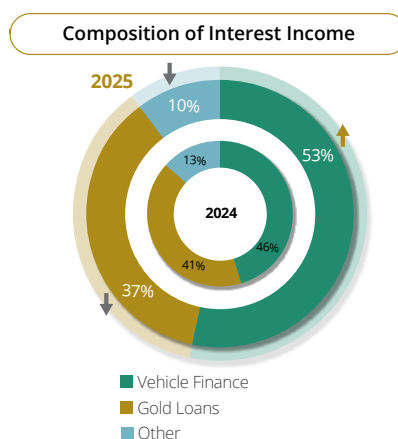
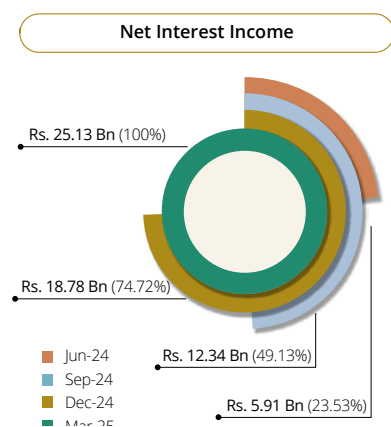


5.2 Net Interest Income

In FY 2024/25, our financial results in interest income reflect the trade-off between strong volume expansion and the impact of declining market yields. We achieved a commendable 22.61% YoY growth in business volumes, successfully increasing our lending base. Even with the repricing of our lending and funding portfolios at lower interest rates, we managed to sustain healthy interest margins, which positively contributed to our overall profitability for the year. Interest Income decreased by 8.56% to Rs. 41.82 billion from Rs. 45.73 billion in FY 2023/24. Interest expense demonstrated positive management, reducing by 21.95% to Rs. 16.69 billion from Rs. 21.38 billion. The composition of our growth this year leaned significantly towards vehicle financing, with gold loans showing moderate growth. This evolving portfolio, currently around 42% gold loans and 50% vehicle finance, experienced the full effect of yield adjustments driven by market rates, which consequently lowered the overall weighted average yield despite higher volumes. For context, the previous financial year's interest income was comparatively higher partly due to the benefit of higher interest yields.

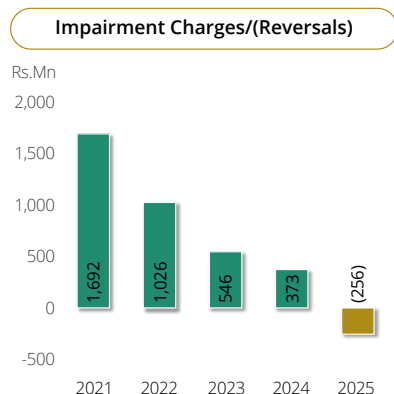
5.3 Non-Interest Income

Non-interest income demonstrated robust growth, increasing by 40.43% YoY to Rs. 4.92 billion (FY 2023/24: Rs. 3.50 billion). This strong performance is a direct outcome of the significant expansion in our underlying business volumes, predominantly from gold loans and vehicle financing activities. The increase in Credit Related Fees and Commissions, aligning with this volume growth, was particularly evident in the second half of the year, coinciding with the improvement in overall economic conditions, which stimulated business generation.



5.4 Impairment Charges

A key indicator of our strong asset quality management in FY 2024/25 is reflected in the significant improvement in impairment charges. We transitioned from an impairment charge of Rs. 373.24 million in FY 2023/24 to a net impairment reversal of Rs. 256.24 million.



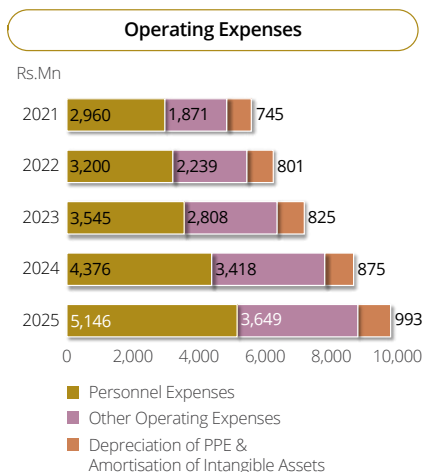
This shift, equivalent to an improvement of over 168.65% compared to the previous year's charge, is a direct result of our proactive efforts to enhance the quality of our assets throughout the financial year. This decline in required provisioning is attributable to multiple factors: a favourable shift in our lending product mix, consistently improved credit underwriting standards, and robust recovery mechanisms, all implemented despite operating within challenging macroeconomic conditions. The management's vigilant oversight of credit monitoring, coupled with diligent efforts in managing credit risk and efficiently recovering finance receivables, has significantly lowered our level of non-performing loans (NPL) and led to better overall management of the loan portfolio.

5.5 Operating Expenses

Operating expenses recorded an increase of 12.91% YoY, from Rs. 8.67 billion in FY 2023/24 to Rs. 9.79 billion in FY 2024/25. Consequently, our Cost to Income Ratio increased marginally from 31.13% to 32.58%. While this reflects an increase in absolute terms, it is crucial to highlight that our Cost to Income Ratio remains the highest efficiency rate in the industry, a testament to our disciplined operational management.

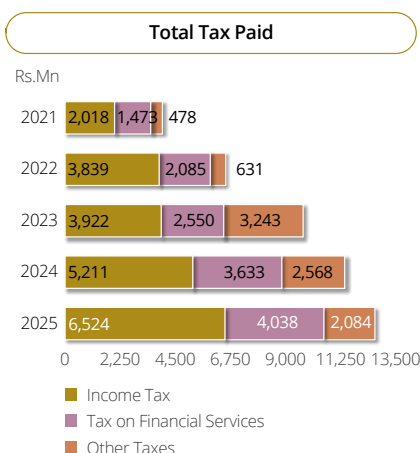
The increase in operating expenses was primarily driven by higher personnel expenses, which account for approximately

52.57% of our total operating costs. This includes planned investments in staff training and development, necessary salary adjustments to account for inflation and support our employees, and performance linked staff incentives. Additionally, administrative expenses, along with advertising and business promotional expenses, saw a notable increase compared to the previous financial year, supporting our market presence and business growth initiatives.



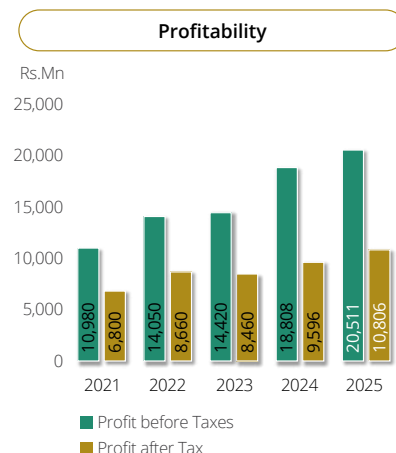
5.6 Taxes

LBF has paid a total tax of Rs. 12.65 billion for the FY 2024/25, reflecting a 10.82% increase over the previous year. Despite the rise in total tax paid, the effective income tax rate has seen a modest decline from 36.89% in FY 2023/24 to 33.91% in FY 2024/25, highlighting prudent and efficient management practices. As a key player and the highest taxpayer in the Non-Bank Financial Institution (NBFI) sector, LBF continues to make significant contributions to the country's economic growth and development.



5.7 Profit for the Year

Profit before Taxes increased to Rs. 20.51 billion in FY 2024/25, reflecting a 9.06% growth from Rs. 18.81 billion in FY 2023/24. This growth contributed to the continued positive momentum in our Profit after Tax (PAT), which rose by 12.99% YoY to Rs. 10.81 billion, up from Rs. 9.56 billion in FY 2023/24. This result extends our track record of consistent profitability over the years. The positive bottom line performance was primarily driven by the factors contributing to our Profit before Taxes, which include effective management of our net interest margin through timely repricing of interest sensitive assets and liabilities; disciplined control of operating expenses, maintained at optimal levels, continued effectiveness of our operational strategies and significantly reduced credit loss provisioning impact, a result of our focus on quality credit granting and strong recovery procedures. These operational and financial efficiencies, combined with the tax outcome for the year, culminated in the reported Profit after Tax.



FORTIFYING FINANCIAL CAPITAL

6. HORIZONTAL ANALYSIS OF STATEMENT OF FINANCIAL POSITION

Statement of Financial Position	CAGR*	2024/25	2023/24	2022/23	2021/22	2020/21
	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn
Assets						
Cash and Cash Equivalents	10	9,024	22	7,406	86	3,981
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	>100	718	(63)	1,923	>100	554
Financial Assets at Amortised Cost - Loans and Receivables	15	197,767	23	161,291	11	145,190
Financial Assets Measured at Fair Value Through Other Comprehensive Income	21	165	39	119	1	117
Other Financial Assets	19	21,202	4	20,375	(6)	21,686
Other Non Financial Assets	(17)	439	2	431	(9)	474
Investment in Subsidiary	-	521	(25)	699	(24)	922
Property, Plant and Equipment and Right-of-Use Assets	4	9,726	8	8,984	4	8,633
Investment Properties	100	5	100	-	-	-
Intangible Assets	27	67	>100	21	(9)	23
Deferred Tax Assets	100	1,256	35	928	21	767
Total Assets	14	240,890	19	202,177	11	182,347
Liabilities						
Due to Banks	23	37,412	72	21,702	12	19,370
Financial Liabilities at Amortised Cost - Due to Depositors	13	138,497	13	122,808	8	114,012
Debt Instruments Issued and Other Borrowed Funds	13	5,005	(9)	5,491	41	3,882
Other Financial Liabilities	9	4,303	15	3,758	15	3,256
Other Non Financial Liabilities	13	1,672	8	1,549	42	1,089
Current Tax Liabilities	4	2,183	(21)	2,770	23	2,256
Deferred Tax Liabilities	(100)	-	-	-	-	(100)
Post Employment Benefit Liability	11	552	17	473	29	366
Total Liabilities	14	189,624	20	158,551	10	144,231
Equity						
Stated Capital	-	838	-	838	-	838
Reserves	6	9,522	6	8,973	6	8,493
Retained Earnings	20	40,906	21	33,815	17	28,785
Total Equity	16	51,266	18	43,626	14	38,116
Total Liabilities and Equity	14	240,890	19	202,177	11	182,347

*CAGR - Compound Annual Growth Rate

The horizontal analysis of LBF's Statement of Financial Position highlights a strong financial performance, characterised by consistent growth in assets and equity over the past five years. The Company's lending portfolio has recorded a notable Compound Annual Growth Rate (CAGR) of 15%, reflecting its strategic focus on expanding core business operations. This growth is further underpinned by a robust 16% CAGR in internal capital generation, which increased from Rs. 28.18 billion to Rs. 51.26 billion during the period. In parallel, the Company has upheld a stable dividend policy, consistently distributing 1/3 of its earnings to shareholders. Although total liabilities have gradually increased over the period, this has primarily been driven by growth in customer deposits from Rs. 85.86 billion to Rs. 138.50 billion at a CAGR of 13%. Notably, the pace of liability growth has remained slower than the growth in assets. This balanced approach to managing liabilities, alongside sustained growth in assets and equity, underscores LBF's strong financial position and effective financial resource management.

7. VERTICAL ANALYSIS OF STATEMENT OF FINANCIAL POSITION

Statement of Financial Position	2024/25		2023/24		2022/23		2021/22		2020/21	
	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%	Rs. Mn	%
Assets										
Cash and Cash Equivalents	9,024	4	7,406	4	3,981	2	14,459	9	6,187	4
Financial Assets Recognised Through Profit or Loss - Measured at Fair Value	718	0	1,923	1	554	0	13	0	11	0
Financial Assets at Amortised Cost - Loans and Receivables	197,767	82	161,291	80	145,190	80	134,396	82	114,138	81
Financial Assets Measured at Fair Value Through Other Comprehensive Income	165	0	119	0	117	0	86	0	78	0
Other Financial Assets	21,202	9	20,375	10	21,686	12	5,599	3	10,454	7
Other Non Financial Assets	439	0	431	0	474	0	454	0	920	1
Investment in Subsidiary	521	0	699	0	922	1	921	1	521	1
Property, Plant and Equipment	9,726	4	8,984	5	8,633	5	8,422	5	8,241	6
Investment Properties	5	0	-	-	-	-	-	-	-	-
Intangible Assets	67	0	21	0	23	0	15	0	26	0
Deferred Tax Assets	1,256	1	928	0	767	0	-	-	-	-
Total Assets	240,890	100	202,177	100	182,347	100	164,365	100	140,576	100
Liabilities										
Due to Banks	37,412	16	21,702	11	19,370	11	26,859	16	16,467	12
Financial Liabilities at Amortised Cost - Due to Depositors	138,497	57	122,808	61	114,012	62	89,144	54	85,860	61
Debt Instruments Issued and Other Borrowed Funds	5,005	2	5,491	3	3,882	2	8,565	5	3,114	2
Other Financial Liabilities	4,303	2	3,758	2	3,256	2	3,305	2	3,044	2
Other Non Financial Liabilities	1,672	1	1,549	0	1,089	1	1,135	1	1,028	1
Current Tax Liabilities	2,183	1	2,770	1	2,256	1	1,882	1	1,872	1
Deferred Tax Liabilities	-	-	-	-	-	-	111	0	637	1
Post Employment Benefit Liability	552	0	473	0	366	0	317	0	365	0
Total Liabilities	189,624	79	158,551	78	144,231	79	131,318	79	112,387	80
Equity										
Stated Capital	838	0	838	0	838	0	838	1	838	1
Reserves	9,522	4	8,973	5	8,493	5	8,039	5	7,596	5
Retained Earnings	40,906	17	33,815	17	28,785	16	24,170	15	19,755	14
Total Equity	51,266	21	43,626	22	38,116	21	33,047	21	28,189	20
Total Liabilities and Equity	240,890	100	202,177	100	182,347	100	164,365	100	140,576	100

The vertical analysis of LBF's Statement of Financial Position provides a comprehensive view of the Company's assets and liability structure over the past five years. The analysis reveals that the majority of LBF's total assets are comprised of interest earning assets, such as loans and receivables and other financial assets, consistently accounting for between 92% and 85% of total assets. This highlights the Company's focus on generating income through its core lending and investment activities. On the liability and equity side, customer deposits represent the largest source of funding, consistently comprising approximately 57%, demonstrating LBF's commitment to prioritising customer deposits. From the financial year 2020/21 to 2024/25, total equity has consistently grown from Rs. 28.18 billion to Rs. 51.26 billion, while its contribution to the company's funding mix has remained relatively stable, ranging between 20% and 22%, suggesting that the company continues to maintain a balanced approach between debt and equity. This stability implies prudent financial management, with an emphasis on sustaining leverage while gradually strengthening the equity base to support long term growth.

FORTIFYING FINANCIAL CAPITAL

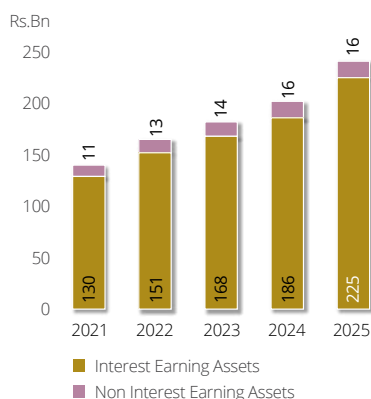
8. POSITION OF FINANCIAL HEALTH

8.1 Total Assets

Our balance sheet growth in FY 2024/25 was largely driven by the significant expansion of our core lending portfolio. Loans and receivables recorded exceptional growth, increasing by 22.61% YoY from Rs. 161.29 billion to Rs. 197.77 billion. This marks the highest loan growth achieved in the past five years and reflects our strategic focus and successful execution in key lending segments, particularly gold loans and vehicle finance.

As a result, our total assets grew to Rs. 240.89 billion as at 31 March 2025, compared to Rs. 202.18 billion as at 31 March 2024, reflecting a YoY increase of approximately 19.15%. Interest earning assets, which include cash and cash equivalents, loans and receivables, and other financial instruments, accounted for 93.35% of total assets, slightly higher than the 92.25% recorded in the previous year. This high proportion underscores our continued focus on deploying capital effectively into income generating assets.

Total Assets



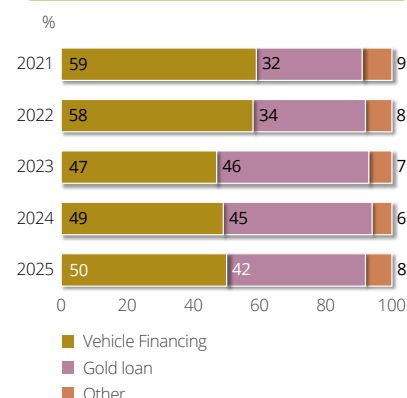
8.2 Lending Portfolio

Reflecting our strategic focus, our lending base expanded significantly in FY 2024/25, achieving a robust 22.61% YoY growth. The portfolio reached Rs. 197.77 billion as of 31 March 2025, up from Rs. 161.29 billion a year prior. This strong performance was

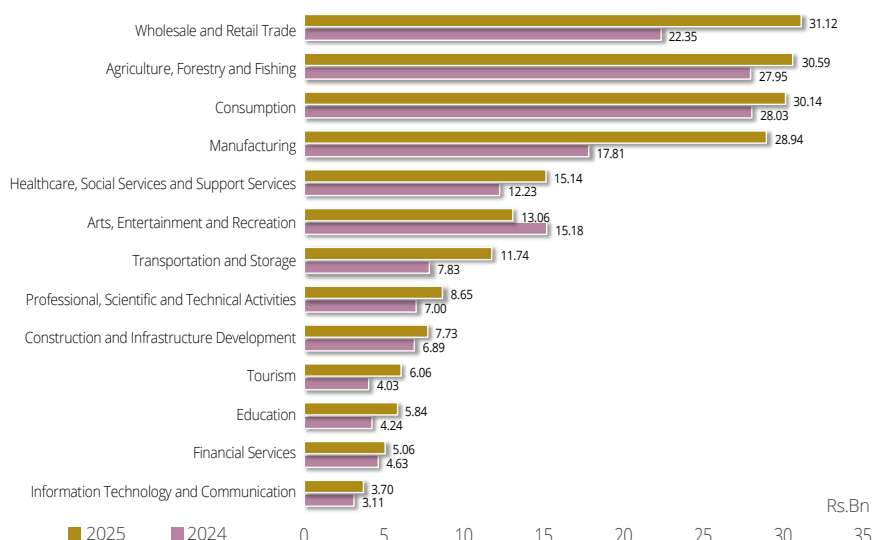
driven by notable growth in our key product segments: Vehicle Financing recorded a 27.04% increase, contributing Rs. 99.84 billion to the portfolio, while Gold Loans also posted healthy growth of 14.86%, reaching Rs. 83.97 billion. While driving this growth, we remain strongly committed to diversification.

Our well diversified lending portfolio helps strategically mitigate concentration risks across sectors, thereby enhancing the stability and resilience of the Company's asset base.

Lending Product Mix



Sector-wise Analysis

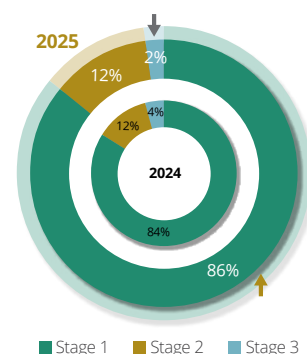


8.3 Credit Quality

In FY 2024/25, the Company demonstrated exceptional credit quality, reporting a low gross NPL ratio of just 2.25%. Even more notably, the net NPL ratio stood at a negative 1.22%. This negative figure signifies that the Company maintains provision levels significantly above its current non-performing loan balance, reflecting robust provision coverage. These strong results were achieved under the stricter 90 day past due NPL classification criteria implemented from April 1, 2023. This 90 day threshold, directly comparable to the Stage 3 impairment criteria used by banks, underscores the Company's superior asset quality, effective credit risk

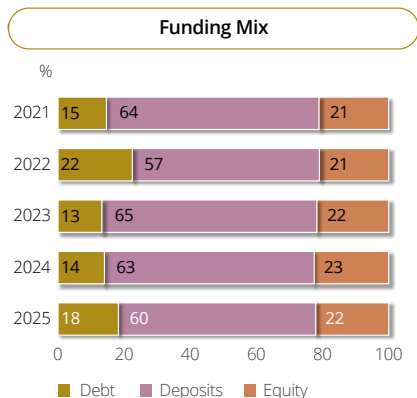
management practices, and strong coverage relative to industry peers operating under similar rigorous standards.

Loans and Receivables (Stage-wise Analysis)



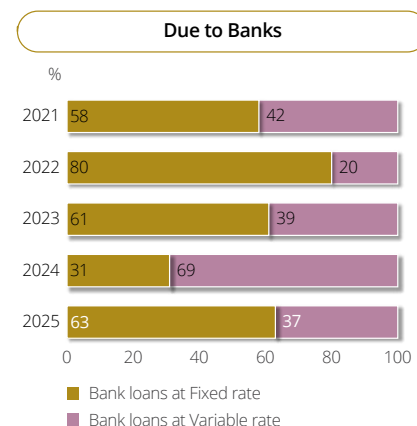
8.4 Liability Overview

Total liabilities of the Company increased by 19.60% YoY to Rs. 189.62 billion as of 31 March 2025 from Rs. 158.55 billion the previous year. This primarily comprises due to banks, customer deposits, debt instruments, other borrowed funds, and other financial liabilities. These items collectively represent 97.68% of total liabilities as of 31 March 2025.



8.5 Due to Banks

As of 31 March 2025, funds obtained from banks increased by 72.39% YoY, reaching Rs. 37.41 billion. This substantial rise in bank borrowings, strategically undertaken towards the end of the financial year, was driven by multiple factors: meeting growing credit demand, capitalising on a favourable cost of funds offered by banks and proactively managing the maturity profile to mitigate potential maturity mismatches.



8.6 Due to Depositors

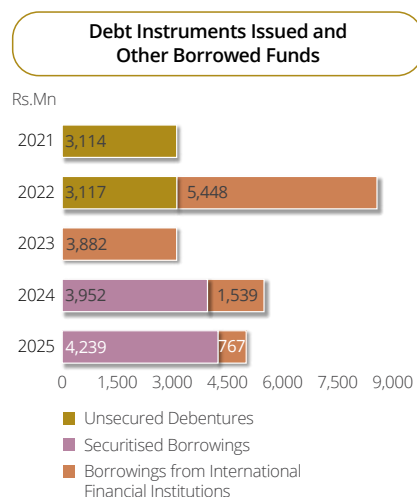
As of 31 March 2025, customer deposits grew by approximately 12.78% YoY to Rs. 138.50 billion, driven largely by a 10.90%

increase in fixed deposits. The Company focused on fixed deposits to leverage favourable interest rates, strengthening its funding base and maturity profile. With a strong renewal ratio above 80%, this reflects deep customer trust and the ability to retain and attract depositors, while maintaining adequate liquidity to support operations.



8.7 Debt Instruments Issued and Other Borrowed Funds

The Company's debt instruments issued, and other borrowed funds decreased by 8.85% YoY to Rs. 5.00 billion as of 31 March 2025. This reduction was primarily due to the repayment of foreign borrowings.



8.8 Equity

As of 31 March 2025, the Company's Equity reached Rs. 51.27 billion, reflecting a 17.51% YoY increase from Rs. 43.63 billion the previous year. This growth of Rs. 7.64 billion is primarily attributed to the strong retained earnings generated

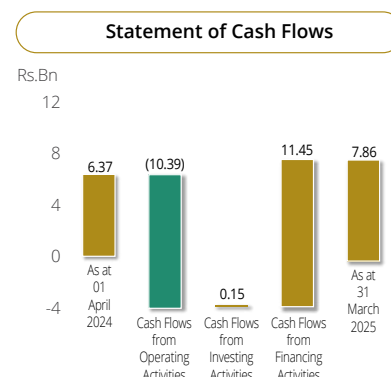
from this year's profits. This healthy level of earnings retention, even while maintaining a consistent dividend payout of 1/3 of profit, underscores the Company's strong internal capital generation capabilities. As a direct result, the Company's capital adequacy remains well above regulatory requirements, providing a strong and sufficient capital base to support its future growth plans.

9. CASH FLOWS STRENGTH

In FY 2024/25, the Company maintained a strategic focus on liquidity and funding management amid challenging market conditions, while adhering to regulatory requirements. Cash and cash equivalents increased by 23.36% YoY, reaching Rs. 7.86 billion as of 31 March 2025. This growth reflects the Company's emphasis on managing financial flexibility through prudent cash management.

Operating activities recorded a cash outflow of Rs. 10.39 billion during the year, primarily driven by lending growth. This lending was funded partly through customer deposits and the remaining balance through increased bank borrowings, which are reflected in financing activities. Investing activities included capital investments amounting to Rs. 1.20 billion, focused on assets intended to generate future cash inflows. Financing activities showed a net inflow of Rs. 11.45 billion, supported mainly by the rise in bank loans.

Overall, the Company's cash flow management accelerated growth by ensuring efficient funding and strategically positioning the Company to capitalise on future market opportunities.

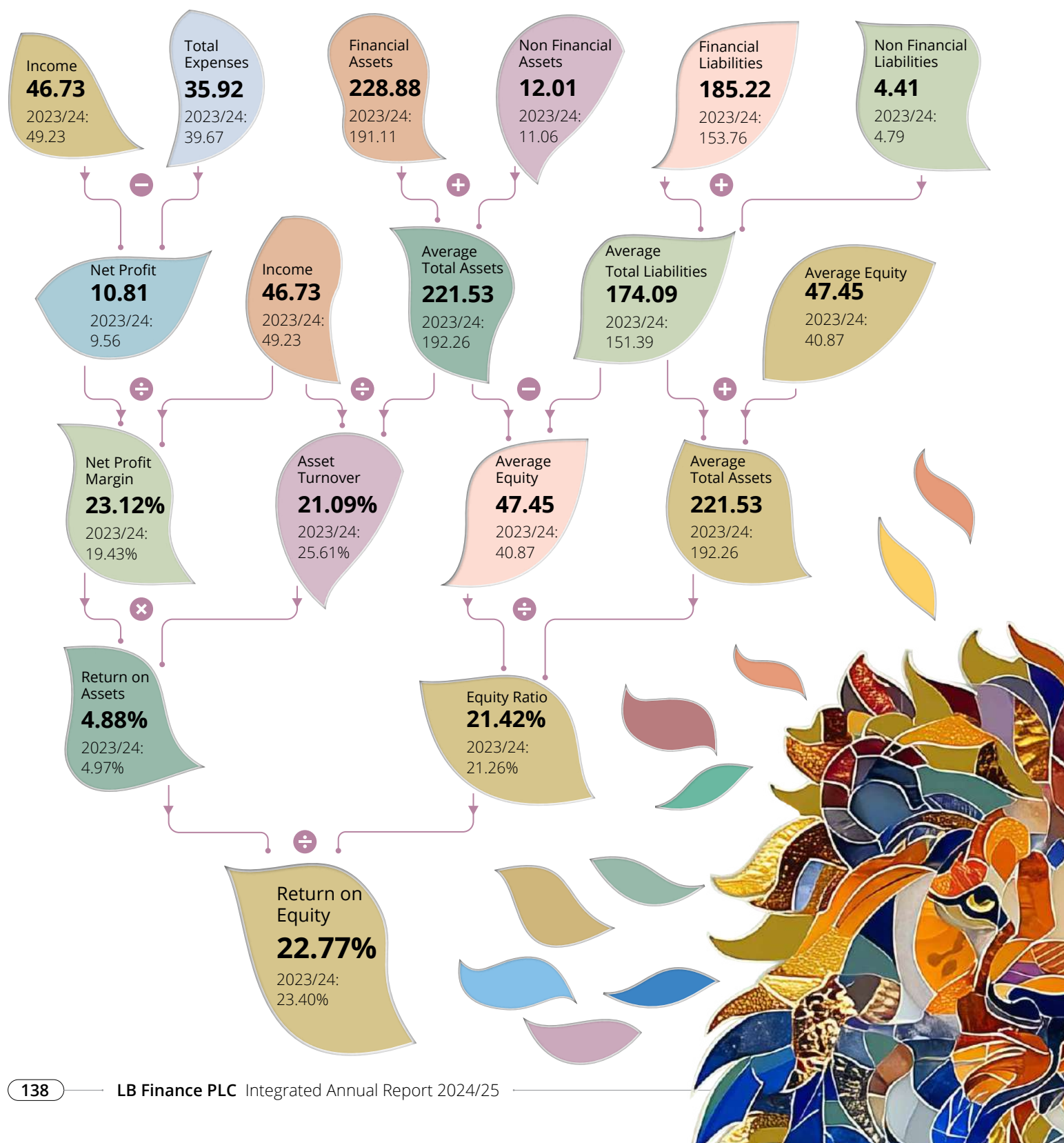


FORTIFYING FINANCIAL CAPITAL

10. DUPONT ANALYSIS

DuPont analysis decomposes Return on Equity (ROE) into profit margin, asset turnover, and financial leverage, offering insights into profitability, efficiency, and risk. ROE declined slightly from 23.40% to 22.77% despite a higher net profit margin from 19.43% to 23.12%. This was mainly due to a decrease in asset turnover from 25.61% to 21.09% and an increase in the equity ratio. Improved margins were offset by leverage effects and YoY asset growth of the Company.

Figures are in Rs. Billion



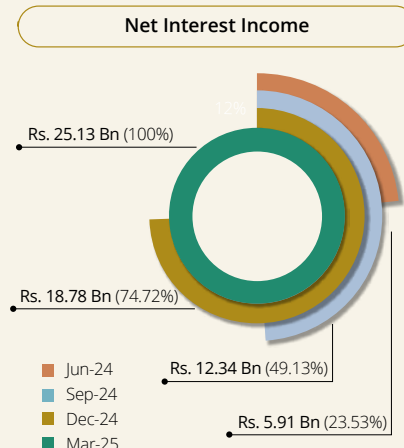
11. INTERIM FINANCIAL SNAPSHOT

11.1 Overview

LBF demonstrated strong and consistent quarterly growth in FY 2024/25, driven by prudent financial management and strategic execution. Across all four quarters, the company recorded notable improvements in profitability, credit growth, and capital strength. This trend underscores management's ability to navigate evolving market conditions while maintaining sustainable performance.

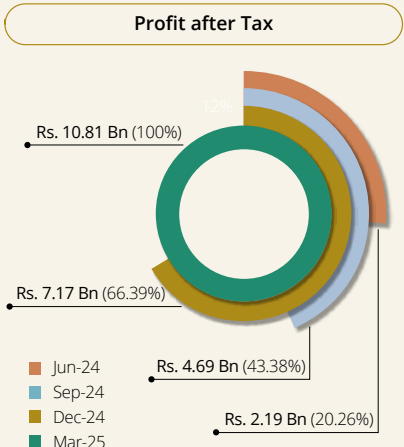
11.2 Profitability Performance

Net Interest Income



Profit after Tax (PAT)

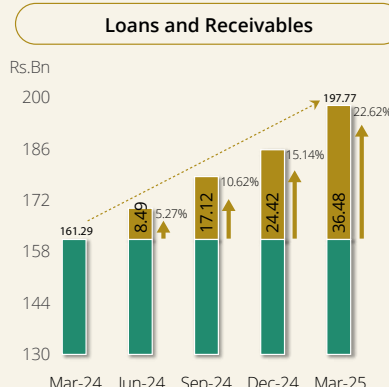
PAT showed steady growth across the year, peaking in Q4 at a 34.50% YoY increase compared to Q4 of FY 2023/24. This reflects improved operational efficiency and revenue generation, especially in the latter half of the year.



11.3 Credit Growth

Loans and Receivables

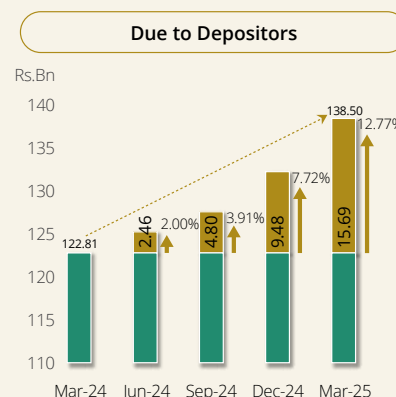
LBF recorded consistent growth in its Loans and Receivables portfolio across all quarters of the financial year 2024/25. In Q1 (June 2024), the portfolio reached Rs. 169.78 billion, reflecting a 5.27% growth over the March 2024 closing, continuing the upward momentum from FY 2023/24. This positive trajectory continued throughout the year, culminating in Q4 (March 2025) with a closing balance of Rs. 197.77 billion a 16.48% increase from Q1, underscoring the strength of our lending strategy and sustained demand across key asset segments.



11.4 Funding Strength

Due to Depositors

LBF recorded consistent growth across all four quarters of FY 2024/25. Building on the FY 2023/24 closing deposit base of Rs. 122.81 billion, the Company achieved a 2% increase in Q1 and sustained this momentum throughout the year, culminating in a 10.56% growth by Q4.



11.5 Financial Strength and Risk Management

LBF demonstrated solid financial strength and effective risk management throughout FY 2024/25. Profitability ratios showed a consistent upward trend, with ROE rising from 20.01% in Q1 to 22.77% in Q4, and ROA increasing from 4.26% to 4.88%, reflecting efficient asset utilisation and strong returns for shareholders. Tier 1 and Total Capital Adequacy Ratios stood at 30.45% and 31.31%, respectively, by year end well above regulatory requirements indicating a strong capital buffer that supports both growth and resilience. Additionally, asset quality improved significantly, as Gross NPL declined from 3.29% in Q1 to 2.25% in Q4, while Net NPL remained negative throughout the year. This demonstrates robust provisioning, strong credit discipline, and effective recovery efforts, further reinforcing the Company's prudent risk management practices.

Key Performance Indicators	FY 2024/25			
	Q1 Jun-24	Q2 Sep-24	Q3 Dec-24	Q4 Mar-25
Profitability %				
ROE	20.01	20.83	20.67	22.77
ROA	4.26	4.54	4.55	4.88
Capital Adequacy %				
Tier 1	28.90	27.83	25.79	30.45
Total	29.65	28.64	26.63	31.31
Asset Quality %				
Gross NPL	3.29	2.86	2.53	2.25
Net NPL	-0.93	-1.19	-1.42	-1.22

Refer Quarterly Financial Statements on pages 486 to 487

FORTIFYING FINANCIAL CAPITAL

12. PERFORMANCE OVERVIEW OF LBF SUBSIDIARIES

LBF's subsidiaries supported the Group's overall performance during the year. Multi Finance was successfully amalgamated during the period, while our Myanmar operations remained stable under a prudent and risk managed approach.

12.1 Multi Finance PLC

The amalgamation of Multi Finance, which was acquired under the guidance of the Central Bank of Sri Lanka (CBSL) in March 2022, was successfully completed in July 2024. This strategic integration resulted in the full absorption of Multi Finance's assets and liabilities into the Company's (LBF) financial statements. Additionally, six former Multi Finance branches were integrated into the Company's network and rebranded as LBF branches, expanding our operational reach.

12.2 LB Microfinance Myanmar Company Limited

Financial Journey & Strategic Narrative

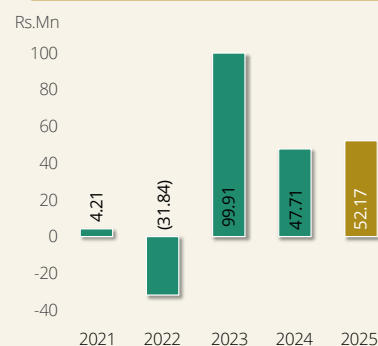
The Myanmar operation has shown steady and impressive growth, as the contributor to the regional presence. Starting as a small venture, it has matured into a profitable business with a solid foundation for future expansion. Strategic lending, focused execution, and strong customer relationships have driven this growth. The loan portfolio expanded to Rs. 1.50 billion in

FY 2024/25, up from Rs. 1.14 billion in FY 2023/24, generating interest income of Rs. 353.25 million (FY 2023/24: Rs. 272.81 million), while profit after tax held strong at Rs. 52.17 million, marginally increasing from Rs. 47.71 million in the previous year. Customer confidence deepened as deposits more than doubled, while bank borrowings rose by 54.62% YoY. Despite rapid expansion, credit quality remained stable and margins healthy, as net interest income rose by 24.05% and fee-based income increased by 32.51%. The balance sheet crossed Rs. 1.63 billion in assets, up from Rs. 1.23 billion in FY 2023/24, supported by strengthened equity and rising market trust. The launch of voluntary savings in 2023 diversified the product range, deepening customer engagement and improving funding. Since its introduction, voluntary savings quickly grew to nearly 60% of total savings by 2024/25. Meanwhile, compulsory savings, which have been growing since 2018, continued their upward trend. As a result, total savings capital surged to Rs. 327.02 million by FY 2024/25, more than doubling from Rs. 131.06 million in FY 2023/24 a clear indicator of increasing financial inclusion and customer trust. Overall, the Myanmar operation exemplifies disciplined growth, rising strategic importance, and promising long term potential, underpinned by a growing depositor base and a more diversified funding profile.

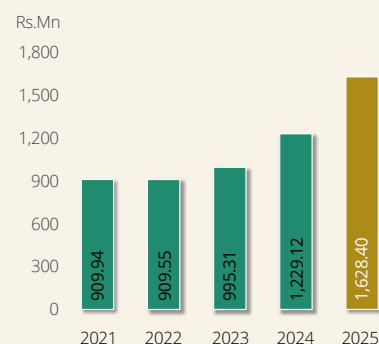
Key Highlights	2020/21	2021/22	2022/23	2023/24	2024/25
Profit After Tax (Rs. Mn)	4.21	-31.84	99.91	47.71	52.17
Lending Portfolio (Rs. Mn)	688.39	804.94	890.42	1,139.64	1,504.36
Total Assets (Rs. Mn)	909.94	909.55	995.31	1,229.12	1,628.40
Due to Customers (Rs. Mn)	80.14	80.70	80.80	131.06	327.02
Total Equity (Rs. Mn)	719.12	805.01	831.68	805.19	845.30
ROA	0.47%	-3.50%	10.49%	4.29%	3.65%
ROE	0.60%	-4.18%	12.21%	5.83%	6.32%

 Refer Subsidiary Information on page 241 to 244

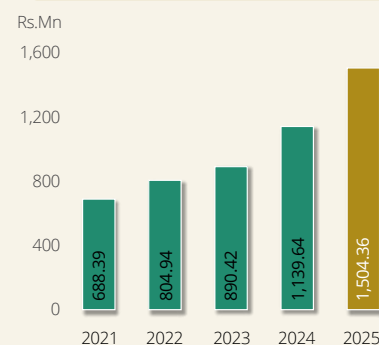
Profit/(Loss) for the Year



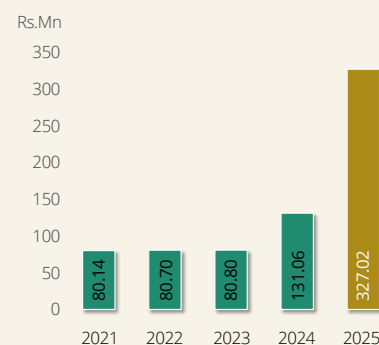
Total Assets



Lending Portfolio



Due to Customers



13. INVESTOR INFORMATION

At LB Finance PLC, we place significant emphasis on creating long-term value for our shareholders by delivering sustainable financial performance. In 2024/25, we continued to uphold strong investor confidence, evidenced by consistent returns, strategic shareholder engagement, and stable dividend payouts. Our performance remained resilient despite market fluctuations, with key metrics such as earnings per share, return on equity, and net asset value per share reflecting sustained growth. Active investor interest and positive trading trends further underscored our robust market positioning. Further insights into our investor relations activities and capital market performance, which underpin our financial capital

outcomes, are available in the Supplementary Information section.

 Refer Investor Information on page 480 to 483

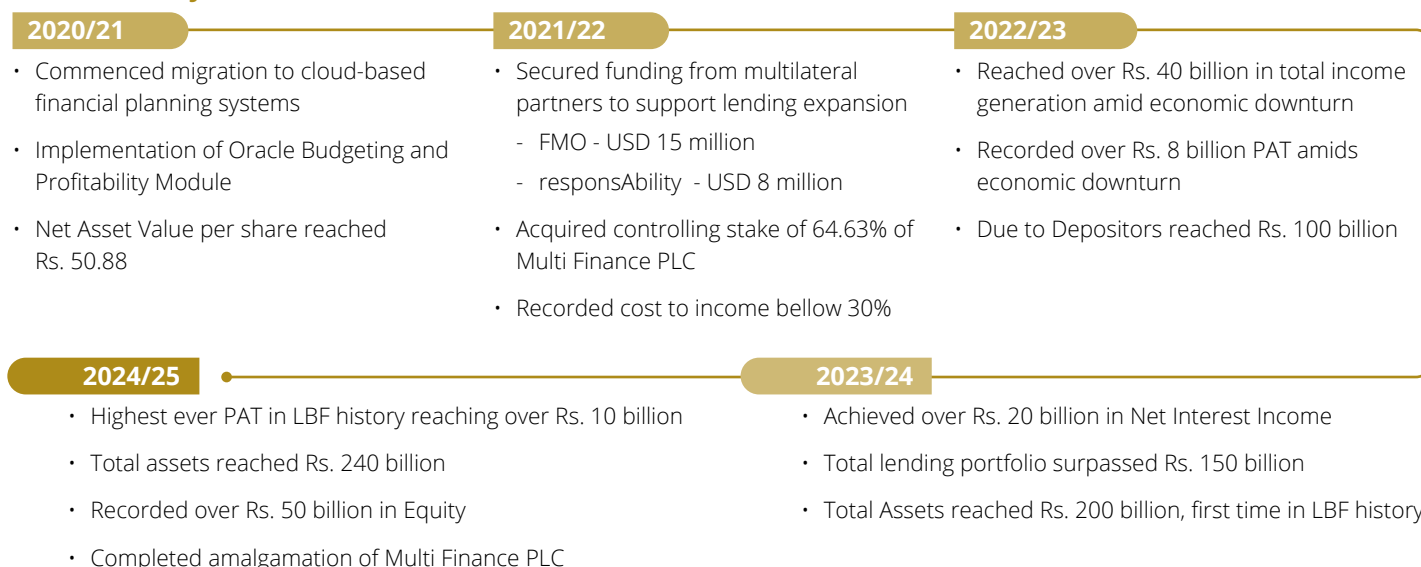
14. ECONOMIC VALUE CREATION

At LB Finance PLC, we assess our performance by the real economic value we create extending beyond profitability to deliver long-term value to all our stakeholders. Two key metrics that reflect this commitment are Economic Value Added (EVA) and Market Value Added (MVA), which measure the true returns generated on invested capital and the market's valuation of our equity performance, respectively.

In 2024/25, we delivered an EVA of Rs. 4,258 million, a notable increase from Rs. 1,796 million in the previous year, demonstrating enhanced value creation through disciplined capital management and stronger profitability. While the MVA remained negative at Rs. 3,340 million, the improvement compared to negative MVA of Rs. 8,831 million in 2023/24 signals a positive shift in market sentiment and narrowing valuation gaps.

 Refer Economic Value Creation on page 35.

15. FINANCE JOURNEY



16. CRAFTING THE FUTURE

Term	Metrics	Targets
Short Term (< 1 year)	- Profitability - Liquidity - Cost efficiency	Maintain a minimum ROE of 20%, Strengthen liquidity coverage ratio well above the regulatory thresholds, Maintain cost to income ratio bellow 35%
Medium Term (1-3 years)	- Income diversification - Asset growth - Maintain asset quality - Capital adequacy	Grow income and profitability by 10% together with assets growth of over 20%, Maintain Gross NPL rate below 5% and net NPL Ratio at zero level, Maintain a capital buffer at least 2% above the minimum regulatory requirement set by the CBSL.
Long Term (> 3 years)	- Sustainable earnings growth - Market competitiveness - Shareholder value creation	Achieve a minimum of 10% CAGR in net profit over the long term, Reach income generation to Rs. 100 billion, Profitability to Rs. 25 billion and total assets to Rs. 500 billion.